In the hierarchical system of courts which exists in India, it is necessary for each lower tier, including the High Courts, to accept loyally the decisions of the higher tiers. It is inevitable in a hierarchical system of courts that there are decisions of the supreme appellate tribunal which do not attract the unanimous approval of all members of the judiciary. But the judicial system only works if someone is allowed to have the last word and that last word, once spoken, is loyally accepted. The better wisdom of the court below must yield to the higher wisdom of the court above. That is the strength of the hierarchical judicial system[50].

While explaining the rationale of the doctrine of precedent, the Supreme Court made the following observation[51]:

"Consistency is the cornerstone of the administration of justice. It is consistency which creates confidence in the system and this consistency can never be achieved without respect to the rule of finality. It is with a view to achieve consistency in judicial pronouncements, the courts have evolved the rule of precedents, principle of stare decisis etc. these rules and principles are based on public policy and if these are not followed by courts then there will be chaos in the administration of justice."

The doctrine of binding precedent has the merit of promoting a certainty and consistency in judicial decisions, and enables an organic development of the law. The Supreme Court has enunciated the importance of the doctrine in the development of jurisprudence of law in the following way[52]:

"Taking note of the hierarchical character of the judicial system in India, it is of paramount importance that the law declared by this Court should be certain, clear and consistent. It is commonly known that most decisions of the courts are of significance not merely because they constitute an adjudication on the rights of the parties and resolve the dispute between them, but also because in doing so they embody a declaration of law operating as a binding principle in future cases. In this latter aspect lies their particular value in developing the jurisprudence of the law."

While stating the importance of consistent opinions in achieving harmony in the judicial system, the Supreme Court observed as follows[53]:

"It is true that in the system of justice which is being administered by the courts, one of the basic principles which has to be kept in view, is that courts of coordinate jurisdiction, should have consistent opinions in respect of an identical set of facts or on a question of law. If courts express different opinions on the identical sets of facts or question of law while exercising the same jurisdiction, then instead of achieving harmony in the judicial system, it will lead to judicial anarchy."

When a position in law is well-settled as a result of the judicial pronouncements of the Supreme Court, it would amount to judicial impropriety on the part of subordinate courts including the High Courts to ignore the settled decisions and then to pass a judicial order which is clearly contrary to the settled legal position. The Supreme Court, in this context, observed as follows[54]:

"Such judicial adventurism cannot be permitted and we strongly deprecate the tendency of the subordinate courts in not applying the settled principles and in passing whimsical orders which necessarily has the effect of granting wrongful and unwarranted relied to one of the parties. It is time that this tendency stops."

The Supreme Court cautioned that, "the judgments of this court are decisional between litigants but declaratory for the nation." This court further observed[55]: